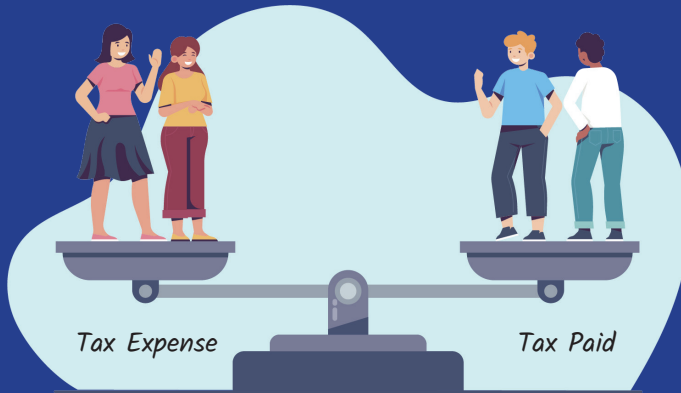


In the Income Statement, the company calculates a tax expense that is reported. The company also reports the exact tax amount paid in the Cash flow statement. These two must be as close as possible to each other.

If the numbers are not close to each other than we need specific reasons on why that is the case.



In this case, this number is around 100 percent, so the tax expense reported is in line with the taxes paid.

5

Sum of last 7 years CFO/ Sum of 7 years PAT

EBITDA is a proxy representation of cash flow that should be generated by the company. Over the long term, the **CFO and PAT** should fall in line or the company should at least generate as much cash as profit after tax reported by the company.

It is possible that the company might have to invest additional working capital in the market, which grows over time. After normalizing for short term fluctuations and working capital investments, the company should ideally generate more cash than the reported profits. If that is not the case for sustained period of time, we need to look for reasons why that is happening.

PROFIT

